QUARANTINE AUDIT · THE OPERATIONS MANUALS

Exactly what is wrong with them, what is right with them, and what it means for question 9 | July 2026

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Prepared for Dennis Lanni | HGF Management Company | July 2026

What was audited and why

Five operations manuals of unknown authorship appeared in the working environment mid-build (file timestamps 5:12 to 5:18 in the morning, July 10) and were quarantined on arrival: INS-010 Program Operations Manual (10 pages), INS-202 Developer Intake and Eligibility (4), INS-401 Transaction Execution (4), INS-501 Annual Administration and Tax Roll (4), and INS-601 Public Agency Onboarding (3). This audit read all 25 pages against the program's locked rules and the verified Claims Register, with page citations for every finding. Fairness first: the audit also records what the drafts got right, because that changes the repair math.

What the drafts got right (recorded for fairness)

The statutory framing is correct throughout: the 3-to-1 value test is always attributed to the statute (Government Code 53345.8) and 4-to-1 always to INSITE policy, never conflated (INS-010 page 2, INS-202 page 2, INS-401 page 2, INS-601 page 3). The one dollar estimate that appears, $5,000 to $30,000 per annexation, is correctly labeled a founder estimate to be validated (INS-010 page 4). SCIP and BOLD are credited by name with figures matching the verified register (INS-601 page 2). There are no banned first-ever or no-mechanism-exists claims, no PACE references at all, no pilot specifics, and no placeholder text. The INS-100 through INS-600 numbering that a raw scan flagged as references to missing documents is actually a sensible series taxonomy (valuation 100s, origination 200s, underwriting 300s, execution 400s, administration 500s, agency 600s) stated on INS-010 page 2. And INS-501's division-of-labor table (page 2) puts levy computation with a subcontracted Tax Roll Administrator while INSITE approves with maker-checker sampling, which matches the sourcing strategy's contracted-first decision exactly. The skeletons are competent.

The real defects, by class, with locations

1. The retired program name is on every cover. All five title pages plus the INS-010 body (page 2) read "Development Impact & School Fee Financing Program," the name the program dropped because school fees are excluded at launch. Telling detail: INS-010's own open-items list (page 10) asks whether "School Fee" should remain in the name, which means the drafts were written before or alongside that decision and never updated. Seven instances.

2. Ninety-five banned em dashes. The character is banned across the package and mechanically enforced everywhere else. These drafts use it structurally: chapter headers ("CHAPTER 1 — PURPOSE"), classification lines ("Internal — Confidential"), and running prose. Counts: INS-010 has 27, INS-202 has 11, INS-401 has 14, INS-501 has 23, INS-601 has 20.

3. The builder is named as program staff. INS-010's launch org chart (page 5) lists "Content & Communications: Gene Palmer (engagement)." The standing rule is that the builder does the computer work and is not a principal, recipient, or staff listing in program documents. One instance, but it sits in the governance chapter, where it does the most damage.

4. Thirteen invented operational commitments are stated as settled policy. This is the substantive problem. None of the following numbers traces to any verified source or recorded founder decision, yet each reads as binding policy today: screening decision in 3 business days and inquiry logging within one business day (INS-202 pages 3 and 4, INS-010 page 6); appraisal delivery in 15 to 20 business days (INS-010 page 6); approval memo in 5 business days (INS-010 page 6, plus five more stage-table service levels); a credit threshold of "scorecard at or above 80" on an INS-301 scorecard that does not yet exist (INS-010 pages 5 and 9); program KPIs of 75 business days median cycle time and 100 percent levy accuracy (INS-010 page 10); investor data room updates within 5 business days (INS-401 page 4); payoff quotes within 5 business days and delinquency escalation to the Principal within 2 business days (INS-501 pages 3 and 4). Add the unratified governance design on INS-010 page 5 (an "Operations Lead, founder-designate / first hire" running the pipeline) and the invented document-classification scheme. Every one of these is a decision being made by an unknown author on Dennis's behalf.

5. No disclaimer anywhere, including on the one marked external. All five lack the standard disclaimer block that every other document in the package carries. INS-601 is explicitly classified "External — Agency distribution," so it violates the standing rule that every external surface carries the disclaimer verbatim.

6. No source apparatus and no provenance. Zero citations across 25 pages, no connection to the Claims Register, and no known author. Even where figures happen to match verified claims (INS-601's SCIP and BOLD numbers), nothing marks them verified. One statute range endpoint (Government Code sections 66000 to 66025 for the Mitigation Fee Act, INS-202 page 2) is plausible but unverified in the register. Provenance is itself the disqualifier: the package's foundational rule is that every claim traces to a source or wears a label, and these trace to nobody.

The repair-versus-rebuild math

The mechanical defects (name, dashes, the Palmer line, missing disclaimers) are an hour of scripted edits. The real cost is classes 4 and 6: every service level, threshold, KPI, and governance assignment must be put in front of Dennis to ratify, relabel as a proposed target, or kill, and every factual statement must pass the register pipeline. That is a line-by-line adjudication of 25 pages, which is the same meeting whether these files are edited or new ones are drafted. The difference is that fresh drafts built through the verified pipeline carry provenance from birth; scrubbed drafts of unknown origin never fully will.

Recommendation for question 9, sharpened by this audit

Treat the five manuals as competent unratified outlines, not as adoptable documents. Salvage the skeleton: the series taxonomy, the stage structure, the RACI division-of-labor concept, and the checklist format are good and consistent with the built package. Rebuild the content fresh through the verified pipeline. And rather than silently keeping or deleting the thirteen invented commitments, hand them to Dennis as a one-page decision list, because several (a screening turnaround promise, a payoff-quote service level, a credit-score gate) are exactly the operational policies the program will need him to set anyway. The unknown author asked reasonable questions; they just were not entitled to answer them.